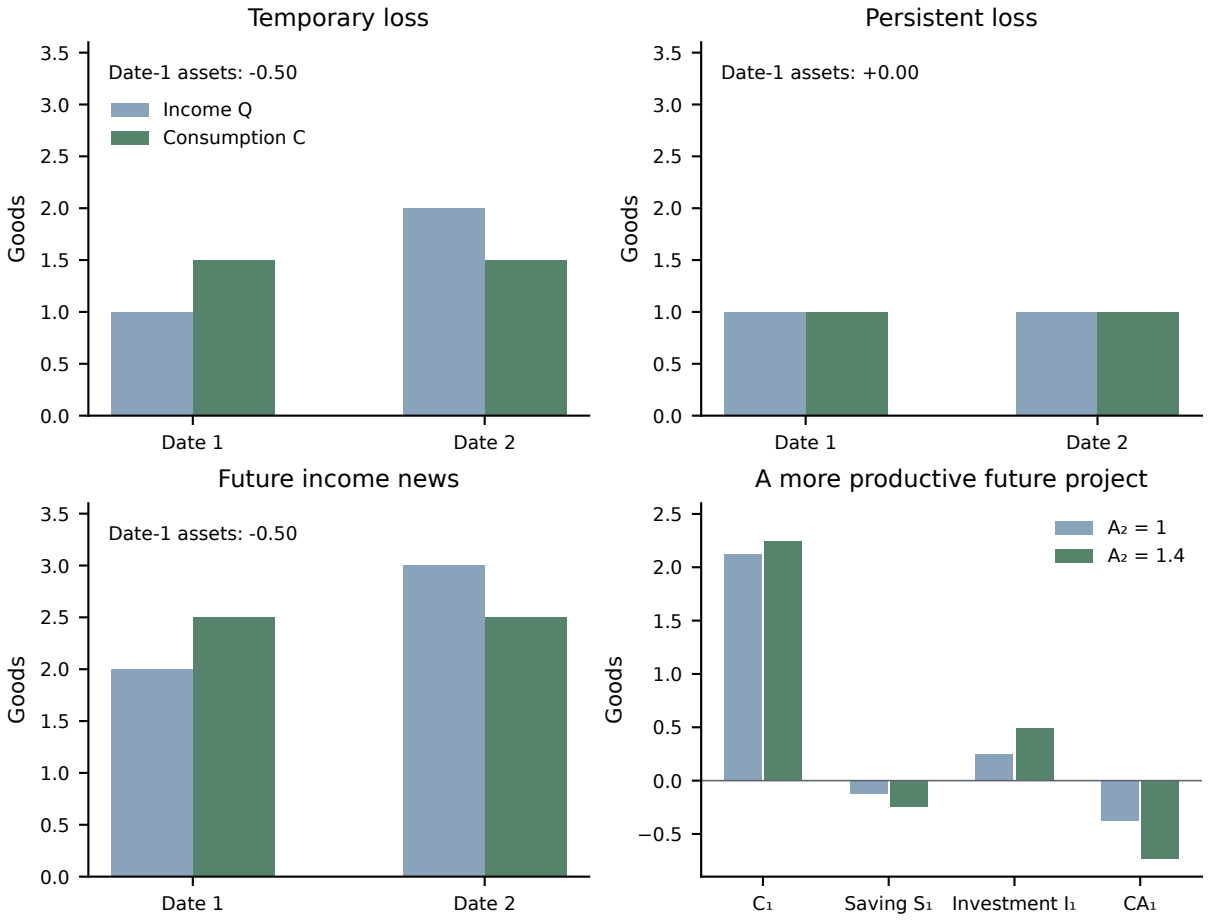
Temporary loss
Date-1 assets: -0.50
Income Q
Consumption C
Goods
Date 1
Date 2
Persistent loss
Date-1 assets: +0.00
Goods
Date 1
Date 2
Future income news
Date-1 assets: -0.50
Goods
Date 1
Date 2
A more productive future project
A₂ = 1
A₂ = 1.4
Goods
C₁
Saving S₁
Investment I₁
CA₁